Reckitt Benckiser Group plc (LSE.RKT)

Current Price: GBP £59.94/share (as of market close December 1, 2025)

Recommendation: SOFT BUY

Company Overview

i. Background

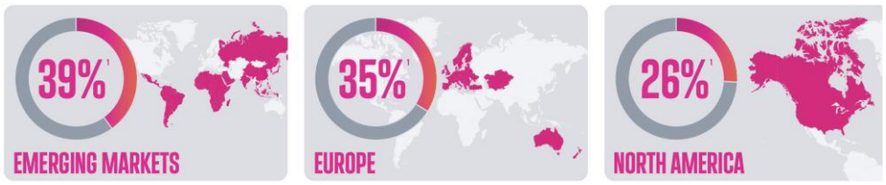
Reckitt Benckiser Group plc (“**RKT**” or “**Reckitt**”) is a global consumer brands company with a diverse portfolio of market-leading brands covering self-care, germ protection, household care, and intimate wellness. Originally founded in the UK in 1840 as a starch business, RKT has morphed into a near £40 billion company and is the 19th largest FTSE 100 company (by market capitalisation).

Most significant in shaping today’s Reckitt was its 1999 merger with Dutch-based Benckiser N.V., which created Reckitt Benckiser Group plc and saw the combined group list on the London Stock Exchange. The transaction brought together Reckitt’s core hygiene and health brands – including Dettol, Harpic, Veet, Gaviscon, Airwick, and Lysol brands - with Benckiser’s leading fabric and dishwashing brands, Vanish and Finish.

Today, more than 70% of Reckitt’s brands hold No. 1 or No. 2 positions in their respective markets, which underscores the durability of its market share and category leadership.

ii. Products and Markets

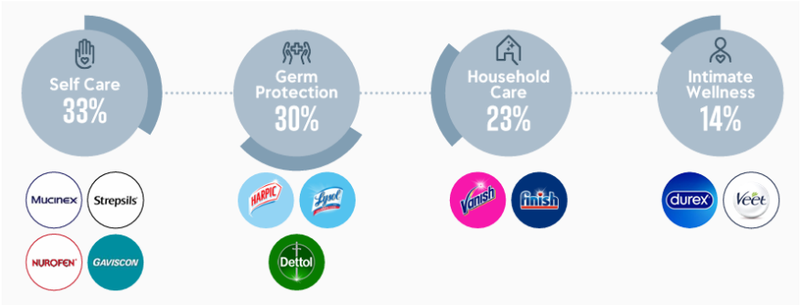
Over 30 million Reckitt products are sold every day across North America, Western Europe & Oceania, and key emerging markets. Net revenue is well diversified geographically, with no single country or region contributing more than 40% of total net revenue (see breakdown below).



Source: Reckitt, *Annual Report and Accounts 2024*, p. 19.

The spread of Reckitt’s business activities across mature markets (e.g. North America, Europe), combined with exposure to higher growth opportunities supports our view that RKT’s diversification offers more attractive risk-adjusted returns to that of peers such as Unilever, hence our supporting our SOFT BUY rating.

Reckitt’s competitive advantage remains its attractive brand portfolio – namely its 11 ‘Powerbrands’ – which fall into four product categories (see below) and drive more than 80% of net revenues.



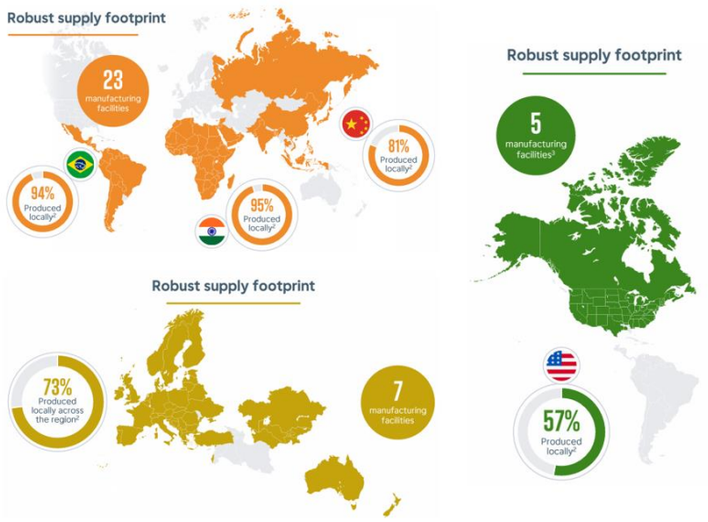
Source: Reckitt, *Full Year Results Presentation 2024*, p. 27.

In its July 2024 strategy update, RKT announced a renewed focus on a smaller set of higher growth, higher margin “Core Reckitt” brands (shown above), alongside plans to divest non-core nutrition brands. This strategic pivot is positive from both a product mix and operational perspective. Reckitt’s portfolio will remain diversified across its four product categories, while

divesting its nutrition business will allow management to concentrate on its market-leading Powerbrands and enhance execution in product innovation, marketing, and global distribution.

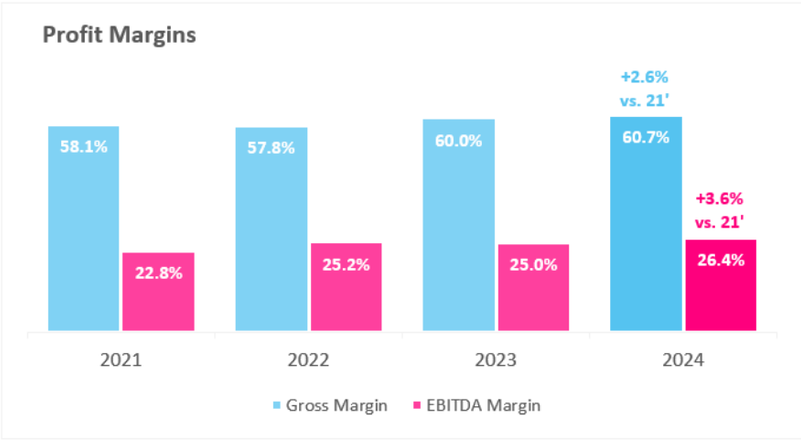
iii. Operating Model, Supply Chain, and Channels to Market

Reckitt has a robust global supply footprint which comprises of approximately 3,800 suppliers across 59 countries. A significant degree of Reckitt's manufacturing occurs both internally (across 35 production facilities) and locally across Reckitt's key markets. Approximately 90% of all products sold by Reckitt are produced internally, and no fewer than half of all products sold in each region are produced outside of their respective region (see below).



Source: Reckitt, *Full Year Results Presentation 2024 (adapted)*, p. 36 - 38.

Amid ongoing geopolitical instability and a volatile macroeconomic environment, Reckitt's highly diversified sourcing and manufacturing network has helped shield the company from the continued U.S.-China trade conflict. This operational resilience has supported improvements in profitability, with gross margin and EBITDA margin expanding by approximately 2.6% and 3.6%, respectively, since 2021 (see below).



Source: Reckitt, *Annual Report and Accounts 2021 - 2024*; author calculations.

This performance also underscores Reckitt's strong brand equity and pricing power, which have enabled the company to expand margins while simultaneously growing market share – a combination that is historically difficult to achieve in the household and personal care categories. However, discussed later, Reckitt faces intensifying competition from private-label alternatives, which could place pressure on margins should brand loyalty weaken.

Regarding routes to market, Reckitt sells its products through major global customers across multiple channels, including hypermarkets, supermarkets, pharmacies, drugstores, and both traditional and emerging trade channels such

as discounters and convenience stores. In addition, online and e-commerce retailers (namely Amazon) represent a growing distribution avenue. These customers then sell Reckitt's products to end consumers.

iv. Board & Management

After several years of significant leadership changes, the Board of Reckitt appointed Kris Licht as permanent CEO in May 2023. Meanwhile, Sir Jeremy Darroch took over as Chair in May 2024 from Chris Sinclair following the completion of Sinclair's full Board term.

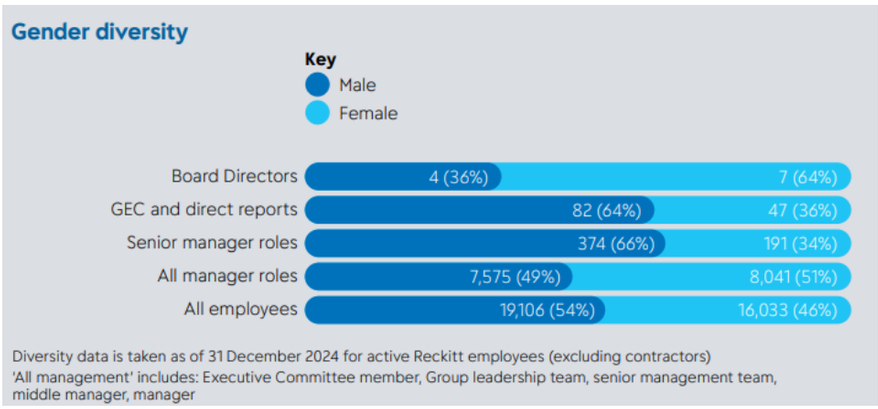
Reckitt's Board currently comprises 13 members, including 10 independent non-executive directors. The presence of a Senior Independent Director strengthens governance oversight by providing an independent channel for shareholder concerns and leading the annual evaluation of the Chair's performance. This structure contributes to a strong and transparent governance framework, which has materially lowered our governance-related investment risk for the company.

From a skills perspective, the Board brings strong transformational and sector expertise, which positions Reckitt well as it continues its strategic pivot towards "Core Reckitt" and divests non-core assets. While there is a relative gap in sustainability and broader ESG capabilities (see below), overall Board competencies are well aligned with the company's near-term strategic priorities.



Source: Reckitt, *Annual Report and Accounts 2024*, p. 65.

Reckitt's diversity metrics further reinforce governance quality, with women holding 64% of Board seats and 51% of management roles (see below). This level of representation supports a lower governance risk profile.



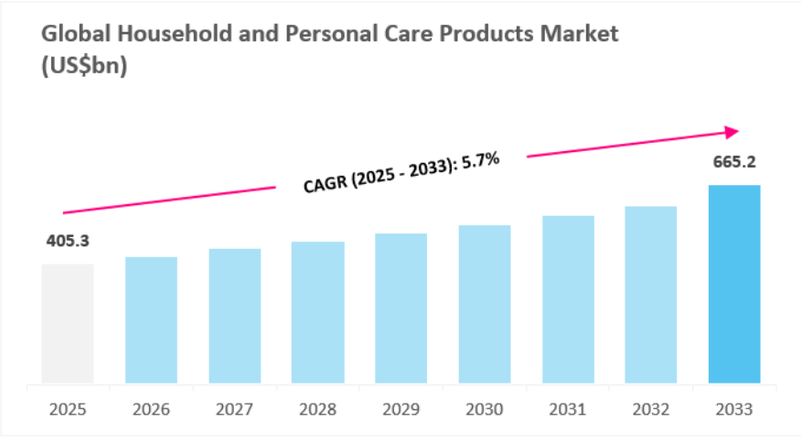
Source: Reckitt, *Annual Report and Accounts 2024*, p. 49.

Industry Analysis and Outlook

i. Industry Overview

Reckitt operates across the non-durable consumer goods sector, with exposure to household products through its germ protection and home care segments, and to personal care products via its self-care and intimate wellness segments.

The global household and personal care (HPC) market is projected to reach approximately US$665.2 billion by 2033, implying a robust compound annual growth rate (CAGR) of around 5.7% from 2025 to 2033 (Proficient Market Insights, 2025; see below).



Source: Proficient Market Insights, *Household and Personal Care Products Market Report 2025*; author calculations.

From an industry risk perspective, demand for non-durable household products is relatively insensitive to macroeconomic and geopolitical volatility, particularly in developed markets such as the U.S. Reckitt's geographic diversification further strengthens its resilience, with the U.S. providing modest yet consistent growth and protection against external shocks. In emerging markets, robust supply chains help mitigate the impact of macroeconomic disruptions, which **supports a BUY rating** given the revenue and earnings stability this provides.

ii. Competitive Analysis – Porter's Five Forces

1. Threat of New Entrants

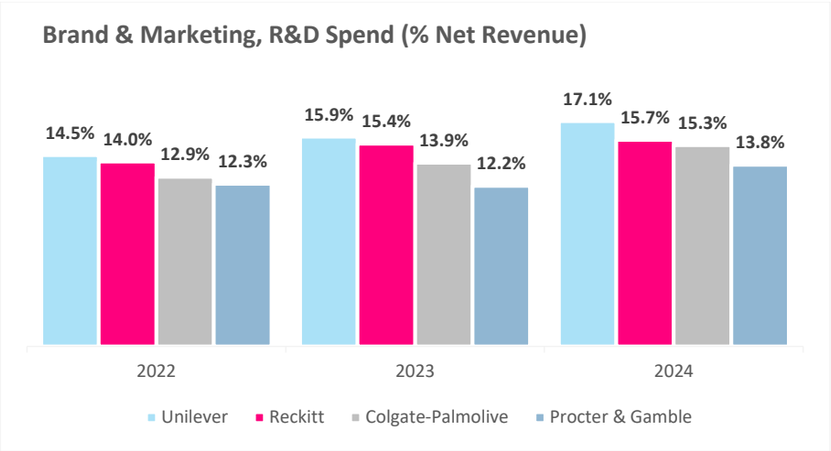
The HPC market is highly concentrated - dominated by Procter & Gamble, Unilever, Colgate-Palmolive, and Reckitt – all of whom possess scale advantages and strong brand recognition which create high barriers to entry. Given this, there is a low probability of new entrants meaningfully challenging these established incumbents.

While major fast-moving consumer goods companies (e.g. Nestlé) could seek to enter the market through acquisitions, we view this threat at low given the dominance of the top four players.

Risk rating: Low

2. Competitive Rivalry

Rivalry among the major global HPC players is intense, driven by substantial investment in brand, innovation, and marketing. Over the past three years (2022–2024), Unilever has led in brand and marketing as well as research and development spend as a percentage of total net revenue, while Reckitt has consistently ranked second (see below).



Source: Colgate-Palmolive, Procter & Gamble, Reckitt, and Unilever, *Annual Report and Accounts 2022 – 2024*; author calculations.

Competition among large HPC players is primarily driven by brand equity and product innovation rather than price. While competitive pressure remains high, we note that Reckitt's planned non-core disposals are expected to free up capital for reinvestment in brand, marketing, and R&D initiatives, allowing sharper focus on its Powerbrands portfolio.

Risk rating: High

3. Suppliers' Bargaining Power

Suppliers hold limited overall power due to Reckitt's scale and broad global supplier network. The company benefits from a diversified supplier base and low switching costs, which provide strong leverage in contract negotiations. Supplier influence potentially rises during commodity or supply-chain shocks, particularly for petrochemical-linked surfactants and palm-oils (key ingredients in Reckitt's hygiene and cleaning products). While these markets can experience periods of volatility, the overall risk remains low.

Risk rating: Low

4. Buyers' Bargaining Power

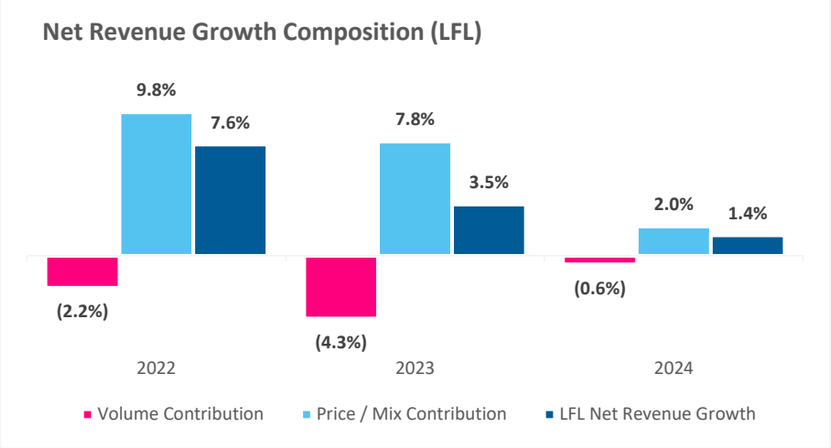
Buyer power is high, with large retailers and hypermarkets (Walmart, Costco, Tesco, Sainsbury's, etc.) exerting significant influence over pricing, promotions, and shelf visibility. E-commerce platforms like Amazon are increasingly becoming more influential as the rising trend in online shopping continues, with such platforms also applying significant influence on visibility and pricing given their data insights on customers shopping behaviour.

End consumers also influence buyer power, with consumers within the HPC market highly sensitive to price and low switching costs – particularly in commoditised categories like dishwashing and laundry detergent, etc. Given the interplay between large, influential customers and consumers with increasing optionality (through low switching costs and availability of substitutes), the overall risk is high.

Risk rating: High

5. Threat of Substitutes

Substitution risk is very high due to widespread private-label alternatives that compete primarily on price. These alternatives are readily available, especially through supermarkets and e-commerce channels, and have increasingly benefitted from consumer trade-down behaviour during periods of elevated cost-of-living pressure. Volume softness within Reckitt's business already reflects this shift, with volumes declining or stagnating despite strong (albeit declining) contributions from price and mix (see below).



Source: Reckitt, *Annual Report and Accounts 2022 – 2024*; author calculations.

Given the elevated consumer price sensitivity amid cost-of-living pressures and structural factors – namely the availability of substitutes and willingness of consumers to trade down, we view the threat of substitutes to Reckitt's branded offerings as very high.

Risk rating: **Very high**

iii. Industry Outlook – PESTLE Analysis

1. Political

Potential future disruptions to global trade and evolving regulatory policies may impact Reckitt's manufacturing costs and market access. This is particularly mitigated by Reckitt's diversified manufacturing and distribution networks, with a significant portion of Reckitt's products being produced locally (57% in North America, 81% in China, and 95% in India), partially mitigating trade exposure

Regulatory requirements on product safety, advertising, and environmental compliance vary by region, however developed markets tend to enforce stricter standards than emerging markets. Given the need for Reckitt to manage the evolving regulatory environment across different jurisdictions/markets, we believe political factors support a moderate political risk assessment.

Opportunity/risk level: **Moderate risk**

2. Economic

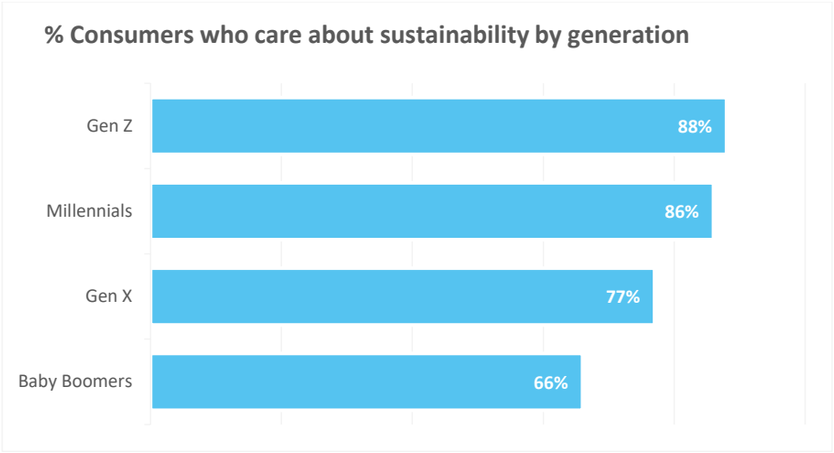
Macroeconomic conditions across Reckitt's key markets present manageable headwinds. Persistent inflation (particularly in developed markets like North America) has kept interest rates well above pre-COVID levels, raising input and financing costs. At the same time, slower GDP growth and weak real income growth continue to weigh on consumer spending. However, these pressures remain broadly manageable in our view.

Reckitt's pricing power through its strong brand equity, premium product mix, and operational efficiency collectively provide resilience to economic shocks, supporting a neutral economic opportunity / risk assessment.

Opportunity/risk level: **Neutral**

3. Sociological

Demographic shifts and generational behaviours influence demand for Reckitt's hygiene and wellness products, particularly in premium segments. Younger consumers, particularly Gen Z and millennials, are increasingly prioritising sustainability and ethical consumption (see chart below), which directly impacts purchasing decisions and brand loyalty in Reckitt's target markets.



Source: Blue Yonder, *Consumer Sustainability Survey 2025*; author calculations.

Reckitt, however, has clearly defined and measurable environmental targets on which it has made significant progress. Its expanding range of sustainable products continues to appeal to consumers' sustainability-linked purchasing preferences, supporting a moderate sociological opportunity.

Opportunity/risk level: **Moderate opportunity**

4. Technology

Reckitt is leveraging digital tools and AI to drive innovation across its supply chain, sales, marketing, and research & development. Its GenAI programme, according to the company, is enabling teams to develop product concepts up to 60% faster and adapt marketing materials around 30% quicker.

We see this as a high opportunity for Reckitt to continue building its technological capabilities, improving efficiency and generating better insights across the value chain - from supply and marketing through to sales and distribution.

Opportunity/risk level: **High opportunity**

5. Legal

Reckitt faces regulatory and compliance risks across multiple markets, including product safety, consumer protection, and evolving labour standards, particularly in China and Southeast Asia. Ongoing NEC litigation in the U.S related to Reckitt's infant formula business adds a live legal overhang, though the company noted in its last public announcement (in March 2025) that it is confident in its position.

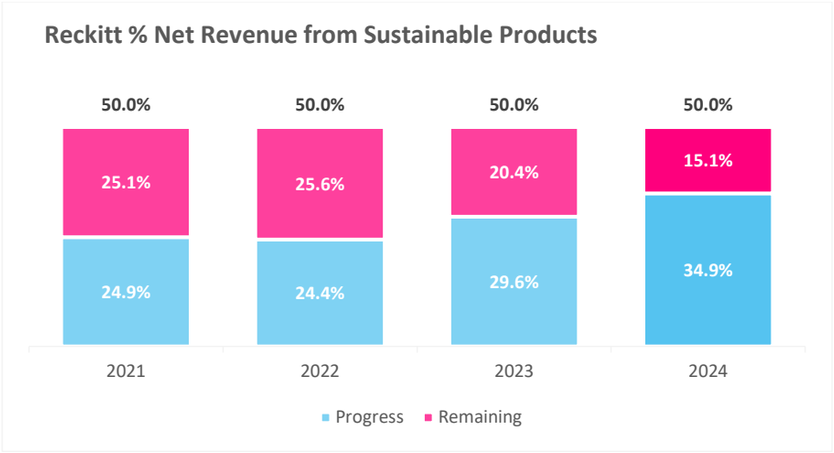
While further NEC litigation could affect earnings and reputation if adverse rulings occur (which is unlikely), the planned divestment of the infant formula business will reduce long-term exposure, thereby supporting a neutral legal opportunity / risk assessment.

Opportunity/risk level: **Neutral**

6. Environmental

Reckitt faces several environmental and sustainability risks, including carbon emissions, waste, and packaging requirements. We note that regulatory pressure may raise compliance costs, however the company's clear targets, including 100% renewable electricity by 2030 and net zero across the value chain by 2040 (see additional targets below) mitigate potential scrutiny from environmental regulators and other stakeholders.

Its premium products and ESG initiatives also offer strategic upside, with the share of sustainable products healthily growing – now contributing 34.9% of total net revenue in 2024 (see below).



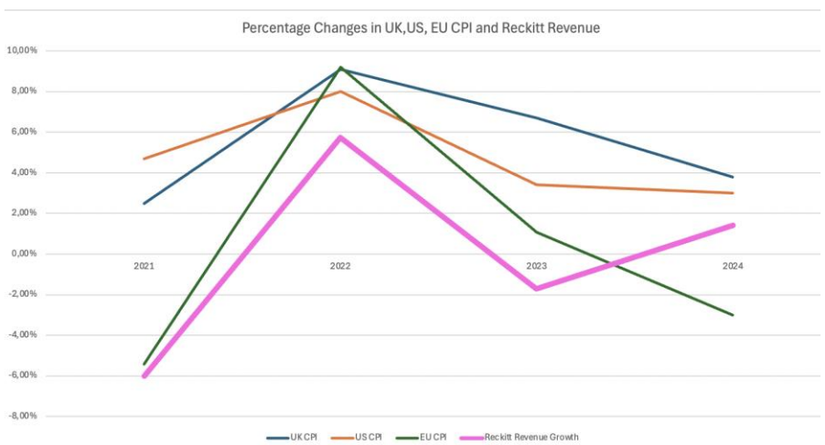
Source: Reckitt, *Sustainability Report 2021 – 2024*; author calculations.

Opportunity/risk level: **Moderate opportunity**

Macroeconomic Analysis and Outlook

i. Inflation and Interest Rates

Inflation remains elevated across Reckitt's key markets, continuing to pressure both input costs and consumer purchasing power. The chart shows that while inflation in the UK, US, and EU surged to multi-year highs in 2022 and remains structurally elevated, Reckitt's revenue growth has softened significantly since its own pandemic peak.



Source: *CFRA*.

The trend is **unfavourable from an investment standpoint**, as it shows that despite inflation normalizing, Reckitt has not regained consistent top-line momentum. This suggests ongoing challenges in passing through costs, recovering volumes, and reaccelerating growth.

ii. Exchange Rates and Trade Exposure

CFRA rates Reckitt's equity volatility as **LOW**, reflecting the defensive nature of its portfolio and the stability of its long-term cash flows.



Source: Reckitt, *CFRA*.

However, once foreign exchange exposure is incorporated, overall volatility is more appropriately assessed as **AVERAGE**, with more than 60% of revenue generated outside the UK and earnings materially influenced by movements in GBP/USD and GBP/EUR. A weaker pound lifts the value of overseas sales but

increases the sterling cost of imported raw materials and packaging, creating natural tension between translation benefits and input inflation.

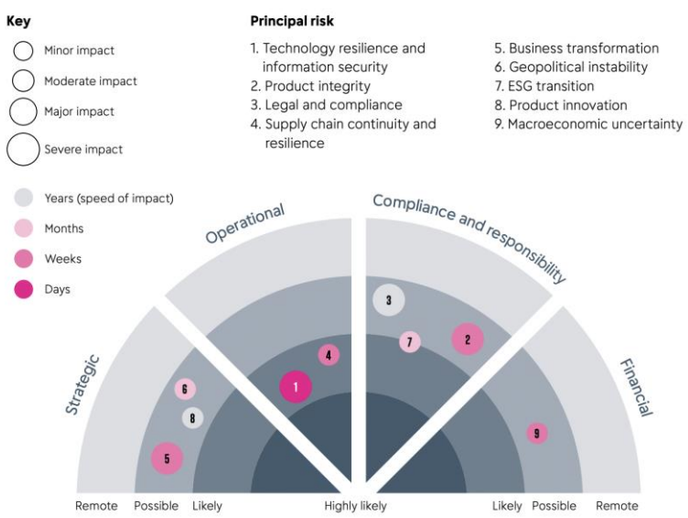
> The notional principal amount of the outstanding forward foreign exchange contracts at 31 December 2024 was £7,565 million receivable (2023: £8,426 million) and £7,546 million payable (2023: £8,440 million).

Source: Reckitt, *Annual Report and Accounts 2024*, p. 181.

Although Reckitt actively hedges these risks through a large forward-contract program (£7.6bn notional amount, as shown above), global trade disruptions and freight-cost volatility continue to challenge supply chain stability. Taken together, the combination of structurally low equity volatility and manageable FX exposure supports the view that **Reckitt remains a resilient, investment-grade consumer-staples company** with well-mitigated financial risks.

iii. Geopolitical and Regulatory Headwinds

Reckitt operates in a world where challenges can emerge from many directions at once: “geopolitical events such as conflicts, trade wars, economic sanctions, and political polarization create disruptions, adding to the complexity of our operating environment” (Annual Report 2024, p. 53 – “Geopolitical Instability”). Some risks develop slowly over years, like new regulations or long-term shifts in sustainability expectations, while others can hit almost immediately, like supply-chain disruptions or geopolitical shocks.



Source: Reckitt, *Annual Report and Accounts 2024*, p. 52.

The risk map shows how these pressures span everything from product integrity and technology resilience to compliance, transformation, and broader macro uncertainty. What stands out, however, is how consistently Reckitt manages to absorb these shocks (**minor impacts mainly**). Its global reach, strong brands, and well-embedded risk controls give it the resilience needed to keep the business steady even when the external environment is anything but. Ultimately, the picture that emerges is of a company that understands its vulnerabilities and actively works to manage them, reinforcing why **Reckitt continues to be viewed as a reliable, investment-grade business**.

iv. Outlook

Inflation and interest rates are finally easing, which should relieve some of the cost pressure that has weighed Reckitt’s margins, but the recovery in consumer demand remains slow. FX volatility and geopolitical uncertainty still create noise in the near term, even as the overall macro backdrop becomes gradually

more supportive. Reckitt remains resilient thanks to its defensive categories and strong Powerbrands, but clear evidence of volume recovery has yet to appear. Taken together, the macro-outlook supports a **HOLD** stance for now.

Peer Set Comparison

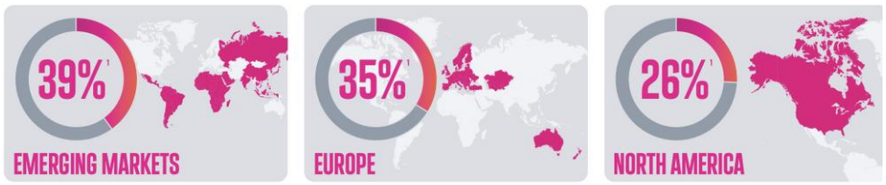
i. Method

Peer Set Comparison									
	Health & Hygiene	Household & Cleaning	Geographic Footprint	Brand Portfolio Strength	ESG Focus	Innovation/ R&D	Weighted Total	Weighted Average (Qualitative)	Total Score (Quantitative + Qualitative)
Reckitt	**4* Multiplier**	**3* Multiplier**	**4*Multiplier**	**4*Multiplier**	**2*Multiplier**	**2*Multiplier**			
Unilever	4	5	5	5	5	4	4.65	93	97
Procter & Gamble	4	5	5	5	5	4	4.65	93	96
Colgate	4	4	5	5	5	4	4.5	90	94
Kenvue	5	1	4	5	4	4	3.95	79	86
Unicharm	5	3	4	4	5	4	4.15	83	84
Haleon	5	1	4	5	4	4	3.95	79	83
Clorox	4	5	3	4	5	4	4.05	81	81
Essity	5	2	4	4	5	3	3.85	77	79
Kimberly-Clark	4	3	5	4	4	3	3.9	78	78
L'Oréal	2	1	5	5	5	5	3.8	76	78
Henkel	3	5	4	4	4	3	3.8	76	77
Church & Dwight	3	5	3	4	3	3	3.5	70	73
Estée	2	1	5	5	4	4	3.55	71	71
Shiseido	2	1	4	5	4	5	3.5	70	70
Danone	3	0	5	3	5	4	3.3	66	67
Nestlé	2	0	5	4	4	4	3.2	64	66
Beierserdorf	2	0	4	4	5	3	2.95	59	62
McBride	2	5	3	2	3	3	2.9	58	60

Source: Author calculations.

We created a weighted qualitative comparison using six factors reflecting Reckitt's strategic structure and market exposure. Each peer was scored out of 5 for similarity to Reckitt and weighted by category importance.

1. **Health and Hygiene/Geographic Footprint/Brand Portfolio Strength: 4x multiplier**
   - We know Reckitt is mainly a Household cleaning & health and hygiene company, that operates mainly in Emerging markets (39%), across Europe (35%) and in North America (26%), with a very big portfolio of products
   - We merged Self Care + Intimate Wellness -> Health & Hygiene
   - It also has a strong portfolio of brands that make it incredibly powerful and diversified. It's one of its strengths, therefore something we look for in its peers



Source: Reckitt, *Annual Report and Accounts 2024*, p. 19.

2. **Household & Cleaning: 3x multiplier**

We merged Household Care + Germ Protection. Leading products like Finish, Dettol and Vanish bring in big business to the company and can be directly compared to products such as Cascade (P&G), and Domestos and Lifebuoy (Unilever).



Source: Reckitt, *Annual Report and Accounts 2024*, p. 3, 19, 26, 28.

3. **ESG Focus/Innovation/R&D: 2x multiplier**

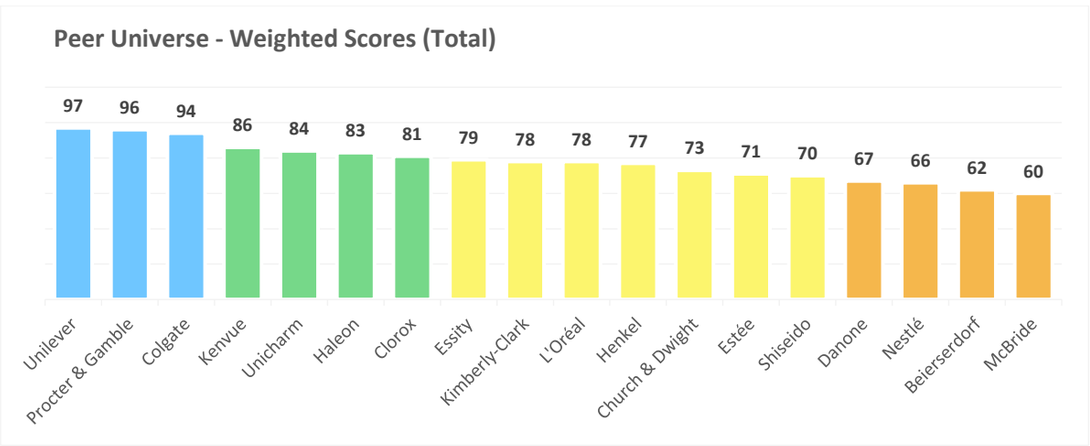
ESG, Innovation and R&D are important factors for Reckitt, with a 34.9% increase in net revenue from sustainable products and 69% reduction in absolute greenhouse gas emissions from operations (see below).



Source: Reckitt, *Annual Report and Accounts 2024*, p. 1.

ii. Peer Set Conclusion

Unilever, Procter & Gamble and Colgate emerged as the most comparable. Nutrition-focused players such as Danone and Nestlé showed lower alignment due to limited hygiene exposure **yet** remain (tier 2) comparable companies operating in adjacent product sectors.



Source: Author calculations.

Recent CFRA equity-research ratings show P&G and Colgate-Palmolive both at "HOLD," reflecting resilient but fully valued positions, which reinforces confidence in companies with similar exposure to hygiene, health and home-care categories.

Unilever is rated **BUY** on account of its restructuring progress, stable cash generation and strong brand portfolio.

Given Reckitt's strong overlap with these peers, the quality of its Powerbrand portfolio, and its strategic refocus on core Health & Hygiene categories, we believe its peer group valuation profile supports a **BUY** recommendation at this stage. (*Supporting analyst evidence and peer-rating tables are provided in Annex)*

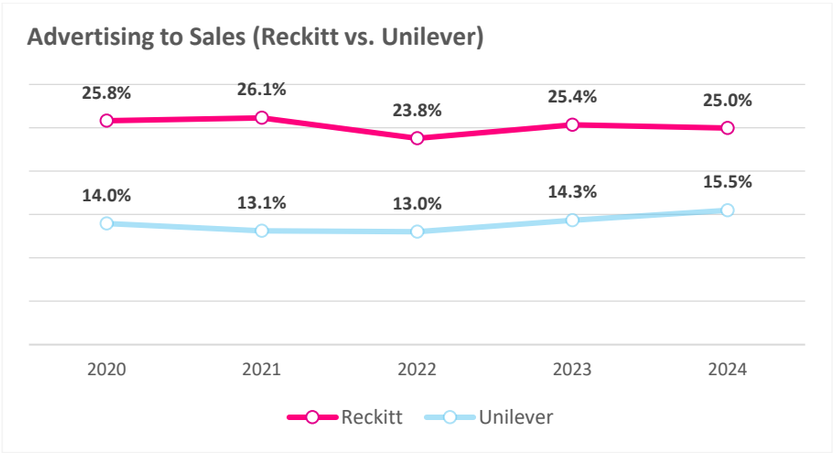
Financial Performance

This section analyzes Reckitt's financial performance between 2020 and 2024, using **Unilever** as a benchmark. The analysis is organized into four key areas commonly used in equity research: **(1) Profit**, **(2) Leverage**, **(3) Efficiency**, and **(4) Liquidity** – to evaluate the company's operational strength, financial risk, and cash-generation profile. The goal is to understand whether Reckitt's multi-year trends support a **BUY**, **HOLD**, or **SELL** recommendation based on profitability, balance sheet strength, operational discipline, and liquidity management.

i. Profit

1. Advertising to Sales

RKT consistently invests between 24 and 26% of its net revenue into advertising - nearly double to its closest peer, Unilever, which invests between 13 and 16% of its net revenue (see below).

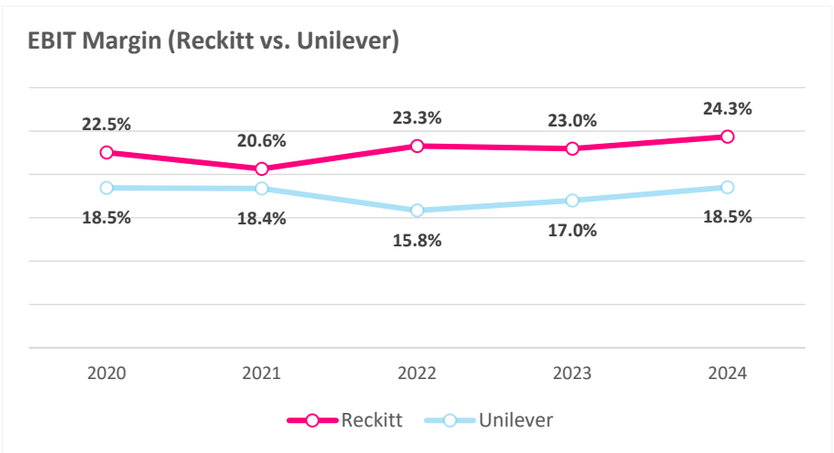


Source: *S&P Capital IQ.*

This demonstrates RKT's commitment to brand equity and pricing power in premium health and hygiene categories. Unilever's lower spend reflects scale but also weaker reinvestment intensity. RKT's steady, elevated investment supports long-term competitive strength and is clearly **supportive of a BUY**.

2. Operating Profit (EBIT) Margins

RKT's EBIT margin, meanwhile, has risen from 22.5% to 24.3% between 2020 and 2024, while Unilever's has fluctuated around 15 – 19% (see below).

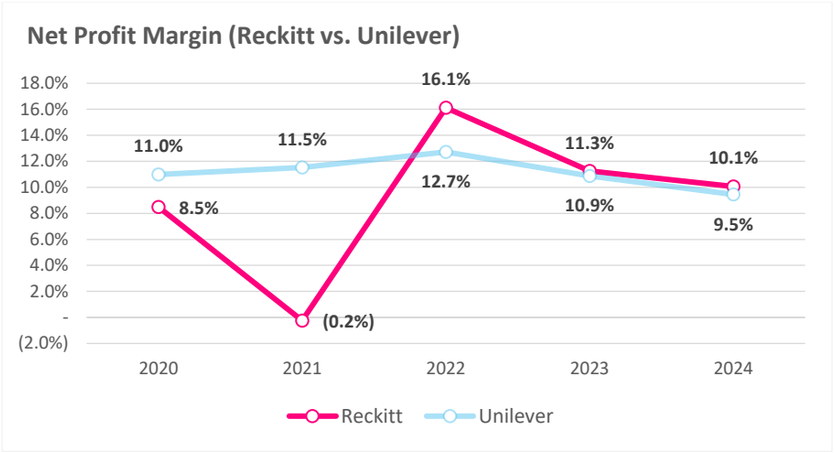


Source: *S&P Capital IQ.*

RKT's upward trend reflects successful cost reductions and strong pricing power, while Unilever's weaker margins highlight category dilution. RKT's profitability leadership and consistent margin expansion are **strong BUY indicators**.

3. Net Profit Margins

RKT's net profit margin has fluctuated significantly, dipping into negative territory in 2021 attributable to its major restructuring. However, it rebounded sharply to 16.1% in 2022 and stabilises around 10 – 11% thereafter (see below).



Source: *S&P Capital IQ.*

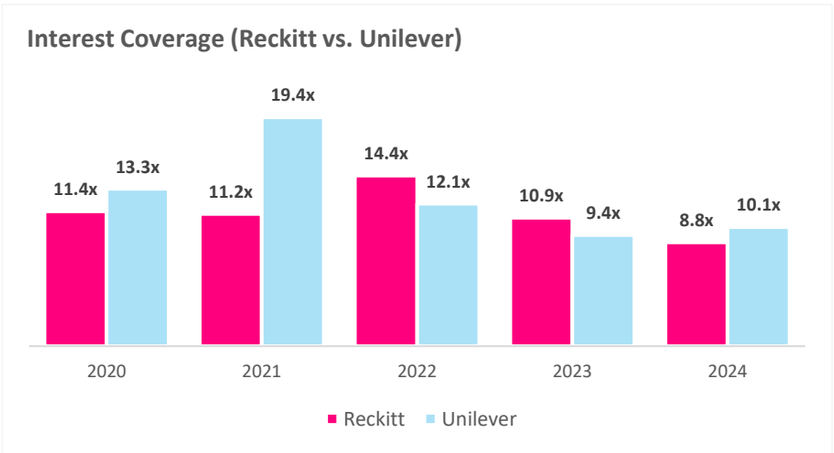
Unilever's, net profit margin, meanwhile, remained steadier at 10 – 12% over the same period (see above).

RKT's recovery and stabilization demonstrate a successful transition out of restructuring with restored earnings quality, **supporting a BUY rating** as margins normalize at competitive levels.

ii. Leverage

1. Interest Coverage

RKT's interest coverage stabilizes around ~10× by 2024, matching Unilever's level after Unilever's sharp decline from its 2021 peak (see below).

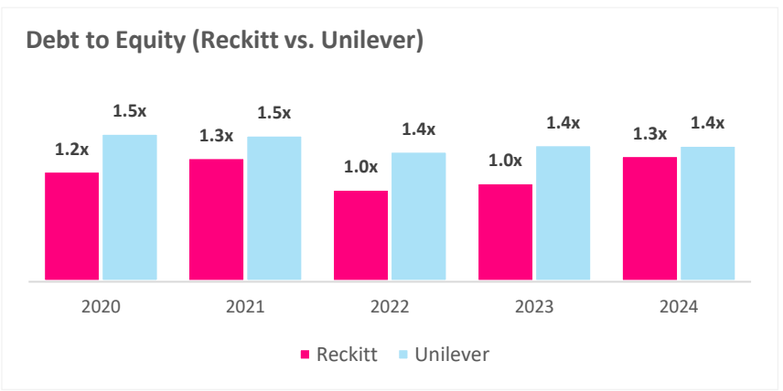


Source: *S&P Capital IQ.*

RKT's trend highlights resilient earnings and manageable leverage, while Unilever's decline highlights rising category pressure. RKT's stable coverage is **positive for a BUY**, indicating solid debt-servicing capacity.

2. Debt to Equity

RKT deleverages significantly (1.29× → 0.96×) before rising to 1.31× in 2024 yet remains consistently below Unilever's 1.4 – 1.5× (see below).



Source: *S&P Capital IQ.*

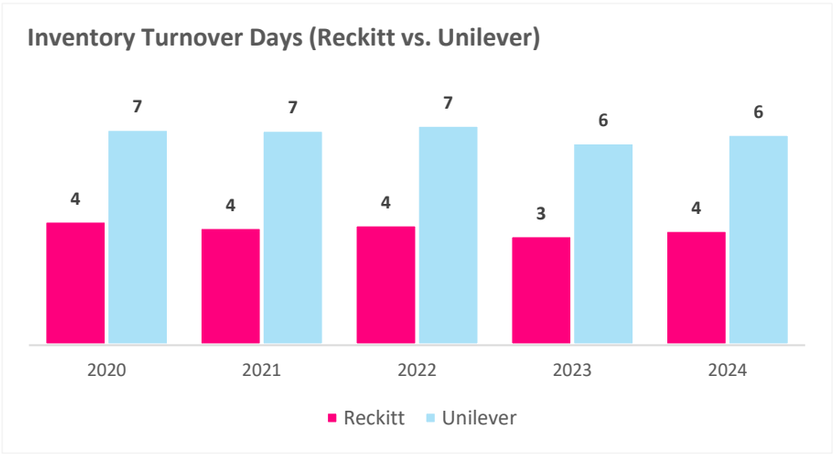
RKT's leverage remains healthy and flexible, reflecting disciplined balance-sheet management. **Supports a BUY** as RKT maintains lower structural leverage than its peer.

iii. Efficiency

1. Inventory Turnover Days

RKT's inventory turnover days (3.4 – 3.8 days) is stable but lower than Unilever's ~6 – 7 days (see below), reflecting RKT's regulated, slower-cycle product categories.

Positive BUY indicator

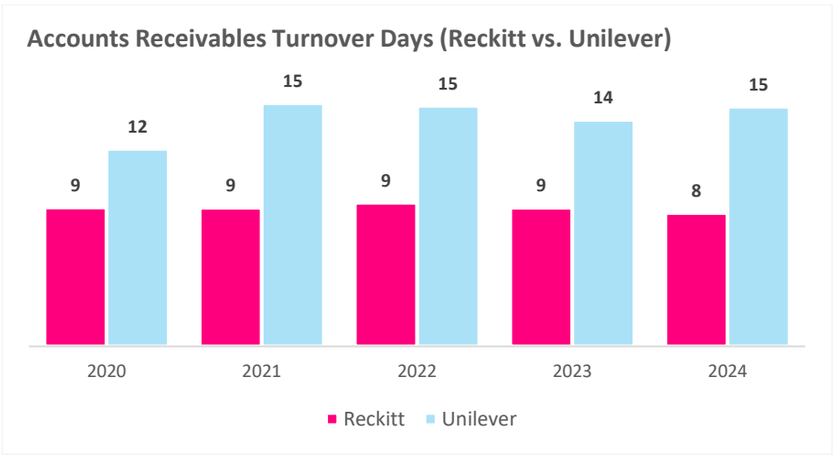


Source: *S&P Capital IQ.*

Stability - not convergence - is what matters. No deterioration appears, indicating effective inventory control. **Neutral** but not negative; does not weaken the BUY case.

2. Accounts Receivable Turnover Days

RKT maintains 8 – 9-day accounts receivable turnover, below Unilever's 12 – 15 days and is consistently stable (see below).



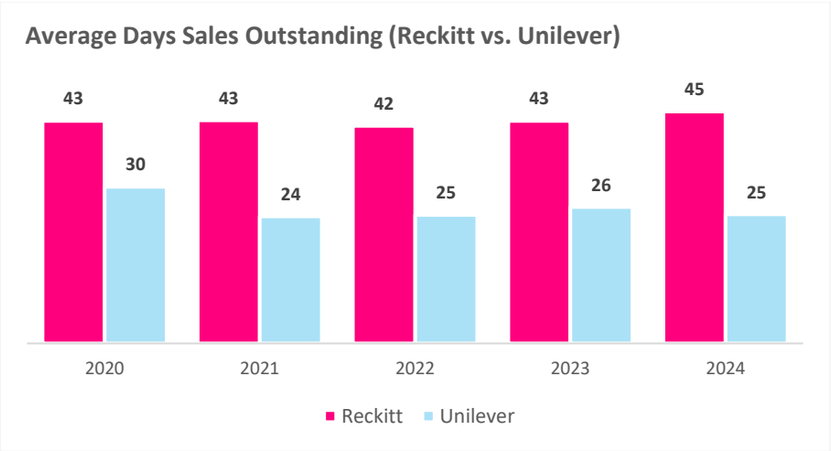
Source: *S&P Capital IQ.*

This reflects channel differences (pharmacies, large retailers) rather than deterioration. RKT shows no weakening in receivable discipline. **Neutral**, with no negative implications for a BUY.

iv. Liquidity

1. Average Days Sales Outstanding (DSO)

RKT holds DSO around 42 – 45 days, while Unilever maintains a tighter 24 –30 days (see below).

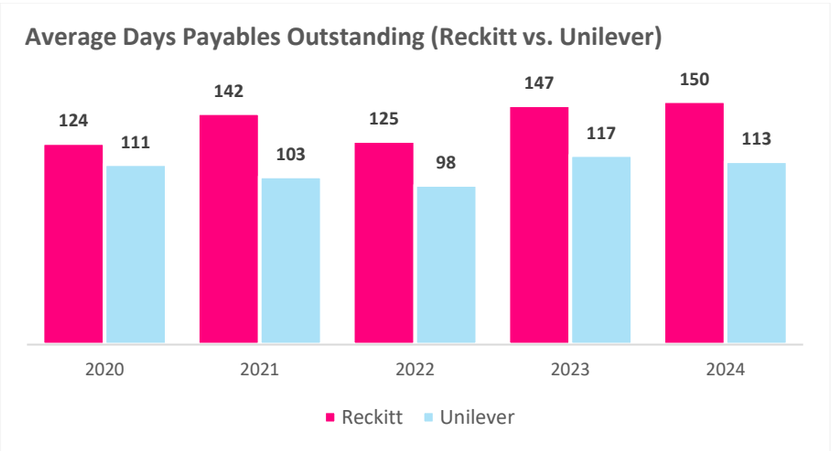


Source: *S&P Capital IQ.*

RKT's higher DSO reflects category mix and retail dynamics. Stability over time indicates no accumulation of credit risk. **Neutral**, with no impairment to cash conversion.

2. Average Days Payables Outstanding (DPO)

RKT's DPO increases from 124 to ~150 days, consistently above Unilever's 98 – 112 days (see below).

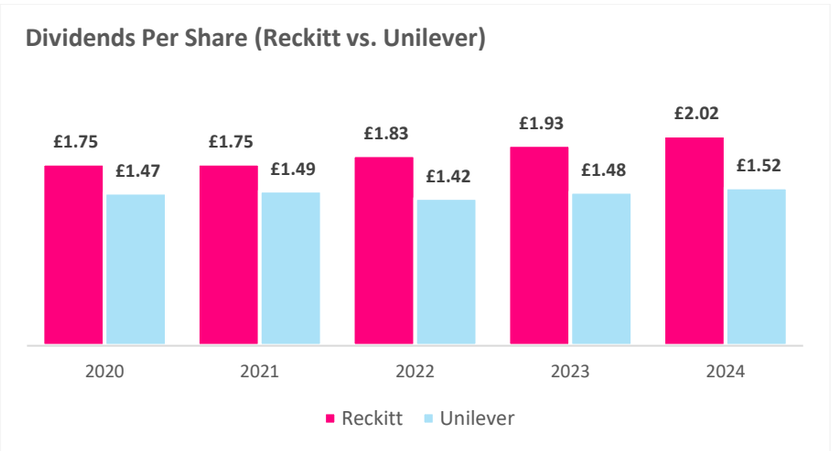


Source: *S&P Capital IQ.*

This demonstrates strong supplier-negotiating power and superior cash-cycle management, directly boosting free cash flow. , enhancing liquidity and financial flexibility.

3. Dividends Per Share

RKT steadily increases dividends per share from £1.75 to £2.02, while Unilever's has remained relatively flat between £1.47 – £1.49 (see below).



Source: *S&P Capital IQ.*

RKT's dividend growth signals confidence in long-term cash-flow durability and a shareholder-oriented capital allocation policy. **Supports a BUY**, especially for income-focused investors.

v. ESG Scores

RKT's ESG score of **54** (September 2025) is only slightly higher than Unilever's **50** (October 2025), a modest 4-point difference on a 100-point scale. This indicates that while RKT performs marginally better in areas such as supply-chain transparency and product stewardship, both firms operate at comparable ESG standards. The gap is not large enough to materially influence an investment thesis between both Reckitt its closest peer, Unilever. **Overall, this metric is neutral** and does not meaningfully strengthen or weaken the BUY case for RKT.

Debt Analysis

In this section, we will first analyze the type of Debt Reckitt manages, before reviewing its credit portfolio and reaching a conclusion.

i. Type of Debt

At 31 December 2024	Total £m	Less than 1 year £m	Between 1 and 2 years £m	Between 2 and 5 years £m	Over 5 years £m
Bonds	(7,450)	(179)	(882)	(3,640)	(2,749)
Commercial paper	(594)	(594)			
Senior notes	(1,834)	(656)	(33)	(98)	(1,047)
Trade and other payables	(5,207)	(5,118)	(89)	–	–
Share repurchase liability	(477)	(477)	–	–	–

Source: Reckitt, *Annual Report and Accounts 2024*, p. 183.

1. Bonds & Senior Notes
   - Total Bond Liabilities: £7.45bn
   - Senior Notes: £1.834bn

These show a high amount of reliability in Unsecured notes (meaning no Assets are used as collateral).

2. Commercial Paper
   - Short-term Borrowings: £594m outstanding (due within 1 year)

Used for liquidity and working capital (current assets minus current liabilities). Used through a floating rate, which is usually cheaper than issuing Long-term debt

Note: Trade and other payables (£5.2bn) represent operational liabilities, not interest-bearing debt, and therefore are excluded from the debt-rating analysis.

3. Revolving Credit Facilities
   - £ 4.45bn: Committed Borrowing Facilities
   - £ 3.5bn: Expires after more than 2 years

> At the end of 2024, the Group had long-term debt excluding lease liabilities of £7,014 million (2023: £6,609 million), of which £6,325 million (2023: £6,010 million) is repayable in more than two years. In addition, the Group has committed borrowing facilities totalling £4,450 million (2023: £4,500 million), of which £3,500 million (2023: £4,450 million) expires after more than two years. The committed borrowing facilities, together with central cash and investments, are considered sufficient to meet the Group's projected cash requirements.

Source: Reckitt, *Annual Report and Accounts 2024*, p. 183.

These are undrawn liquidity lines provided by banks. They allow companies to withdraw money, repay, and draw again (up to a fixed amount). In this case, they give Reckitt flexibility and buffer protection for up to £4.45bn. This will allow Reckitt to show:

- Liquidity Strength,
- Protect against Cash Stocks,
- Improve its Credit Rating,
- Reduce Financing Risks,
- Provides Backup if the market freezes

4. Borrowings
   - £157m: For loans/overdrafts
5. Lease Liabilities
   - £300m: For property, vehicles, equipment
6. Financial Derivatives
   - FX forwards: £38m
   - Cross Currency swaps: £17m
   - Interest rate swaps: £158m

These are used for Hedging FX and Interest rate risks. They are important because they reduce volatility in cash flow and interest expenses.

Commercial paper	17	**592**	–	–	–	**592**
Derivative financial instruments						
FX forward exchange contracts	17	–	**19**	**19**	–	**38**
Interest rate swaps	17	–	**158**	–	–	**158**
Cross currency interest rate swaps	17	–	**15**	–	–	**15**

Source: Reckitt, *Annual Report and Accounts 2024*, p. 179

7. Cash & Cash Equivalents
   - £880m

ii. Rating Analysis

Reckitt's debt structure is well diversified across bonds, commercial paper, credit facilities, and hedging instruments, with a staggered maturity profile and strong liquidity buffers. Overall, this indicates a **stable, investment-grade debt position**, supporting a neutral–positive view for investors at this stage.

To assign an implied credit rating for Reckitt, we compare its financial and debt profile against the rating criteria used by S&P, Moody's, and Fitch. These agencies typically assess four core dimensions: (i) business profile stability, (ii) earnings quality, (iii) leverage and interest coverage, and (iv) liquidity and refinancing. Across all four, Reckitt demonstrates the characteristics of a lower-tier investment-grade issuer.

1. Business & Earnings Profile **(Positive)**
   - Strong, defensive categories (Health, Hygiene, Home Care) provide predictable demand across cycles
   - EBIT margins *(view ratio analysis section)* are stable and improving (22 - 24%)
   - Stable profit margins indicate high earnings resilience, a KEY requirement for investment-grade rating
   - Diversification across 190+ countries reduces concentration risk

Rating Implication: Supports **BBB+ / A-**

2. Leverage & Debt Servicing **(Positive-Moderate)**
   - Debt-to-Equity (*view ratio analysis section)* around 1.0 - 1.3x suggests moderate leverage compared with peers like Unilever
   - Interest coverage stabilizing around 10x places Reckitt comfortably inside A-range thresholds (S&P considers>8x very strong)
   - Net debt remains manageable relative to recurring cash flow

Rating implication: Supports **BBB+ / A-**

3. Liquidity & Refinancing Risk **(Strong)**
   - £880 m cash on hand +£4.45 bn (*view type of debt analysis above)* committed facilities gives excellent liquidity coverage versus £1.4bn short-term maturities
   - Staggered bond maturities (2 - 5+ years) reduce refinancing concentration
   - Hedging FX and interest rates reduces financial volatility

Rating implication: Strongly investment grade **A-**

4. Key Risks to Monitor **(Moderate)**
    - FX exposure (>60% of revenue generated outside the UK) introduces volatility
    - Input-cost inflation and US litigation in the nutrition segment create uncertainty
    - Profitability recovery must remain stable to justify upward ratings pressure

Rating implication: Caps the rating in **BBB+ / A-** band for now

Final Implied Rating: BBB+ (Stable Outlook)

Reckitt's resilient earnings, strong liquidity, and disciplined leverage provide a stable financial base at a time when macroeconomic conditions are gradually improving. While short-term FX volatility and litigation risks remain, the company's defensive categories and margin recovery potential offer attractive upside as inflation and rates ease. On balance, the fundamentals justify a **SOFT BUY** recommendation for investors willing to look through short-term noise.

Forecasting

To forecast Reckitt's performance in 2026 and 2027, I am relying on the main trends mentioned earlier in the report: the company operates in mature health and hygiene categories, demand is stable, and most of the exceptional price effects following COVID have now returned to normal. The main drivers for the future are therefore a moderate recovery in volumes, lower input costs, and continued competitive pressure from private label brands.

i. Revenue outlook

Reckitt's recent growth has come mainly from price increases rather than volume. With inflation easing and supply chains back to normal, pricing should contribute less, while volumes should stabilise or improve slightly. Overall, this points to modest top-line growth.

Based on this, we assume:

- c. +3% revenue growth in 2026
- c. +3.5% revenue growth in 2027

This fits the typical low-single-digit growth pattern seen in comparable European consumer goods companies.

ii. Profitability

Margins have benefited from lower input costs, better operational efficiency, and a cleaner portfolio mix. These factors should continue to help, but in a gradual way, given the competitive landscape. I do not expect a major jump in profitability, just steady improvement.

We therefore assume EBITDA margins of:

- ~28.2% in 2026
- ~28.5% in 2027

Cash generation

Reckitt usually converts earnings into cash reliably. With fewer disruptions in working capital than in previous years, free cash flow should remain stable throughout the forecast period.

Metric	2024 (actual)	2025 (estimate)	2026 (forecast)	2027 (forecast)
Revenue	£14.0bn	£14.3bn	£14.7bn	£15.2bn
EBITDA	£3.7bn	£4.0bn	£4.15bn	£4.3bn
EBITDA margin	26.4%	27.8%	28.2%	28.5%
Free cash flow	£1.5bn	£1.6bn	£1.65bn	£1.7bn

Scenario considerations

There is still uncertainty around input costs, consumer sentiment, and private-label dynamics. A stronger recovery in certain categories (e.g., OTC Health)

could lead to faster growth and higher margins, while weaker demand or renewed cost pressures could limit improvements. These scenarios help frame the level of sensitivity in Reckitt's future performance.

Overall interpretation

Overall, the forecasts suggest a company with gradual and predictable improvements rather than sharp changes. Growth remains modest; margins strengthen slowly, and cash generation stays stable. This provides a reasonable foundation for the valuation that follows.

Valuation Analysis – Comparable Companies Analysis

i. Method

We have valued Reckitt using a Comparable Companies Analysis, which assumes that firms operating in similar markets with similar risk and operating profiles should trade at comparable valuation multiples. Our approach is structured in three steps:

1. We select publicly listed consumer goods companies with business lines, geographic exposure and financial profiles comparable to the target firm. Following the comparability criteria from Lecture 9, we consider operations, margins, growth prospects, risk and size. To reflect relevance, we classify peers into two tiers: Tier 1 includes the closest matches, while Tier 2 provides additional but less direct benchmarks.
2. For each peer, we compute Enterprise Value and derive the key trading multiples: EV/Revenue, EV/EBITDA and P/E. In line with industry practice, EV/EBITDA is used as our primary metric, as it best captures operating performance independently of capital structure. EV/Revenue is used as a secondary cross-check, while P/E is included for completeness but interpreted cautiously due to accounting differences.
3. We calculate a weighted-median multiple (80% Tier 1/20% Tier 2) to reduce noise and reflect differences in comparability. Applying these multiples to the company's financials gives us an implied Enterprise Value, which we adjust for net debt to obtain an estimate of Equity Value.

We use NTM multiples instead of LTM because they reflect the company's expected performance over the next twelve months. This ensures valuations are forward-looking and consistent with market practice for high-visibility, mature consumer goods businesses. This approach ensures that our valuation is consistent with market benchmarks while remaining robust to outliers and differences across peers.

ii. Peer Group Valuation Multiples

We derive trading multiples for both Tier 1 and Tier 2 peers and compute a weighted median (80%/20%). This weighting reflects the relative comparability of the peer groups, as discussed in Section i).

Table 1 – Weighted valuation multiples

Multiple	Tier 1 Median	Tier 2 Median	Weighted Median (80/20)
EV/Revenue (NTM)	3.4x	2.4x	3.2x
EV/EBITDA (NTM)	14.1x	11.3x	13.5x
P/E (NTM)	20.5x	17.2x	19.9x

These multiples will be applied to Reckitt's financial metrics to estimate a valuation range.

Table 2 - RKT key inputs

Metrics	Value
Revenue (NTM)	£14.4bn
EBITDA (NTM)	£4.0bn
Net Debt	£8.4bn
EPS (NTM)	£2.89/share
Shares Outstanding	674m

iii. Implied valuation

1. EV/Revenue

EV = 3.2 × £14.4bn = 46bn

Equity value = EV - Net Debt = £46bn - £8.4bn = £37.6bn

Implied share price: £37.6bn/£674m = £55.70/share

Metric	Value
Enterprise Value	£46bn
Equity Value	£37.6bn
Implied Share Price	£55.70/share

The EV/Revenue method produces the lowest valuation because it does not capture RKT's relatively strong margin profile compared with some Tier 2 peers.

2. EV/EBITDA fair value of c.£60.47 per share, implying only limited upside relative to the current market price

EV = 13.5 × £4.03bn = £54.4bn

Equity Value = £54.4bn - *£8.4bn = £46bn*

Implied share price = *£46bn/674m* = £68.20/*share*

Metric	Value
Enterprise Value	£54.4bn
Equity Value	£46bn
Implied Share Price	£68.20/share

This estimate aligns closely with current market pricing, **suggesting RKT trades broadly in line with peers**.

3. Price/Earnings

Implied share price = 19.9 × 2.89 = £57.50/share

P/E Valuation

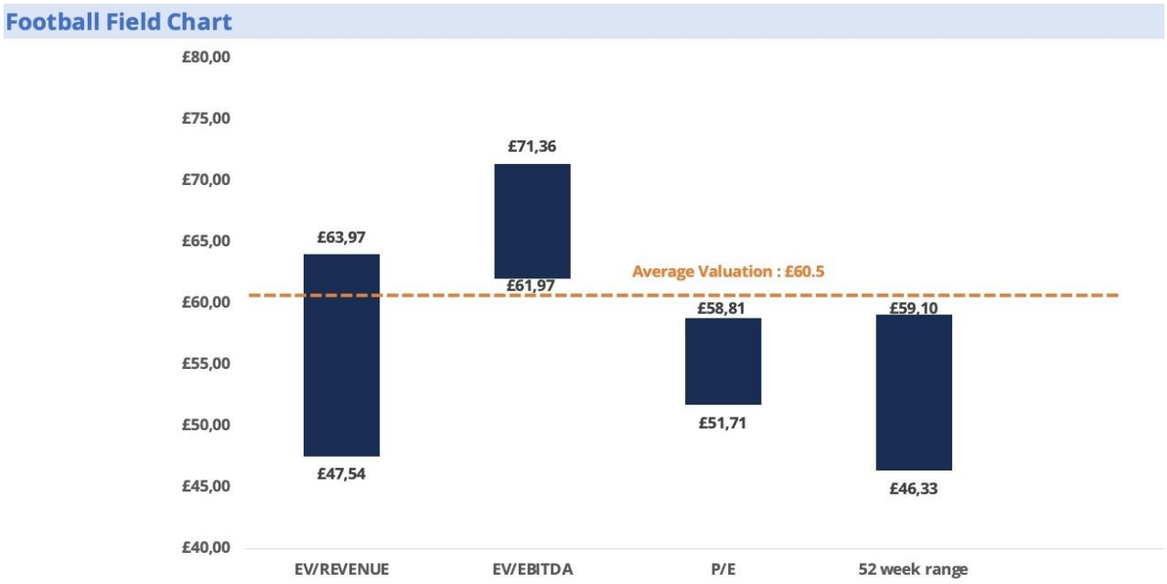
Metric	*Value*
Implied share price	*£57.50/share*

iv. Valuation Summary

Method	Low	High	Median	Implied share price
EV/Revenue	£47.50/share	£64.00/share	3.2x	£55.70/share
EV/EBITDA	£61.90/share	£71.40/share	13.5x	£68.20/share
P/E	£51.70/share	£58.80/share	19.9x	£57.50/share

Using our three implied share prices: £55.70/share, £68.20/share, and £57.50/share, we compute the mean and arrive at a final implied share price of £60.47/share.

v. Football Field chart



Source: *S&P Capital IQ; author calculations.*

With the current share price at £58.92/share, the implied upside is:

(£60.47/share - £58.92/share)/£58.92/share= **+2.6% upside**

This upside is too limited to justify a BUY recommendation. The market appears to have already priced in most near-term operational improvements, and valuation relative to peers suggests that RKT is fully valued.

vi. Conclusion

The comparable companies' analysis indicates a coherent valuation range. Triangulating across all three trading multiples leads to a consistent valuation range that positions RKT broadly in line with peers. Given the modest premium already embedded in the stock and the lack of near-term catalysts to drive a re-rating, the evidence supports a **Hold / Neutral** stance rather than a Buy recommendation.

The comparable companies' analysis indicates a coherent valuation range. Triangulating across all three trading multiples leads to a consistent valuation range that positions RKT broadly in line with peers. Given the modest premium already embedded in the stock and the lack of near-term catalysts to drive a re-rating, the evidence supports a HOLD stance rather than a BUY recommendation.

Recommendation

	Summary	x	Strong BUY	Soft BUY	HOLD	Soft SELL	Strong Sell
Industry Outlook	Demand for non-durable household products is strong	0.5					
Macroeconomic Environment	Remains resilient thanks but clear evidence of volume recovery has yet to appear.	0.5					
Peer Set Performance	Strong overlap with its competitive peers.	1					
Ratio + Cash Flow Analysis	Positive BUY and neutral indicators	1.5					
Debt + Credit Analysis	Resilient earnings, strong liquidity, and disciplined leverage provide a stable financial base	2					
Forecast & Comparables	Fair value of c.£60.5 per share, implying only limited upside relative to the current market price	2					
Final Score	**Combination of each subsection weighed (x)**	**X**					

Recommendation

Based on the weighted assessment across industry resilience, macroeconomic conditions, peer alignment, profitability and leverage trends, and valuation, Reckitt screens as a **Soft BUY**. The company demonstrates stable earnings, disciplined debt management, and strong liquidity, supporting an investment-grade credit profile. While valuation upside appears modest and macro recovery is not yet fully reflected in volumes, Reckitt's defensive category mix and consistent cash generation limit downside risk. Overall, we recommend a **Soft BUY**, reflecting a balanced outlook of moderate upside potential with low-to-medium financial risk.

Appendix

Figure 1: Ratio Analysis Calculations

Reckitt Benckiser					
Revenue	13,993	13,234	14,453	14,607	14,169
Marketing and Selling	3,611	3,460	3,438	3,703	3,537
	FY20	**FY21**	**FY22**	**FY23**	**FY24**
Advertising to Sales	25.81%	26.14%	23.79%	25.35%	24.96%
EBIT Margin	22.5%	20.6%	23.3%	23.0%	24.3%
Profit Margin	8.5%	(0.2%)	16.1%	11.3%	10.1%
Interest Coverage	11.4x	11.2x	14.4x	10.9x	8.8x
Dividends Per Share	£ 1.75	£ 1.75	£ 1.83	£ 1.93	£ 2.02
Debt/Equity	1.15x	1.29x	0.96x	1.03x	1.31x
Receivables Turnover	8.6x	8.5x	8.8x	8.5x	8.2x
Inventory Turnover	3.8x	3.6x	3.7x	3.4x	3.5x
Average Days Sales Outstandir	42.8x	42.9x	41.8x	42.8x	44.6x
Average Days Payable Outstan	124.0x	142.4x	125.2x	147.1x	149.7x
Unilever					
Revenue	45,111	45,087	51,227	51,842	51,441
Marketing and Selling	6,306	5,909	6,669	7,433	7,967
	FY20	**FY21**	**FY22**	**FY23**	**FY24**
Advertising to Sales	14.0%	13.1%	13.0%	14.3%	15.5%
EBIT Margin	18.5%	18.4%	15.8%	17.0%	18.5%
Profit Margin	11.0%	11.5%	12.7%	10.9%	9.5%
Interest Coverage	13.3x	19.4x	12.1x	9.4x	10.1x
Dividends Per Share	£ 1.47	£ 1.49	£ 1.42	£ 1.48	£ 1.52
Debt/Equity	1.55x	1.53x	1.36x	1.43x	1.42x
Receivables Turnover	12	15	15	14	15
Inventory Turnover	7	7	7	6	6
Average Days Sales Outstandir	30	24	25	26	25
Average Days Payable Outstan	111	103	98	117	113

Source: Reckitt, Unilever, *S&P Capital IQ*.

Figure 2: Peer Set Comparables

Stock Report | **November 22, 2025** | Symbol: **NYSE** | **UL**

CFRA

Unilever PLC

Recommendation	**Price**	**12-Mo. Target Price**	**Report Currency**
BUY ★★★★★	USD 60.40 (as of market close Nov 21, 2025)	USD 69.00	EUR

Equity Analyst Danny Yeo Sze Wai, CFA

GICS Sector Consumer Staples
Sub-Industry Personal Care Products

Summary Unilever is a leading global supplier of fast-moving consumer goods via five segments: Beauty & Wellbeing, Personal Care, Home Care, and Foods.

Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports)

52-Wk Range	**USD 65.66 - 54.32**	Oper.EPS2025**E**	**EUR 3.18**	Market Capitalization[B]	**USD 146.05**	Beta	**0.38**
Trailing 12-Month EPS	**EUR 2.24**	Oper.EPS2026**E**	**EUR 3.40**	Yield [%]	**3.51**	3-yr Proj. EPS CAGR[%]	**NM**
Trailing 12-Month P/E	**23.46**	P/E on Oper.EPS2025**E**	**16.49**	Dividend Rate/Share	**USD 2.08**	SPGMI's Quality Ranking	**B**
USD 10K Invested 5 Yrs Ago	**11,933.0**	Common Shares Outstg.[M]	**2,452.00**	Trailing 12-Month Dividend	**USD 2.49**	Institutional Ownership [%]	**41.0**

Stock Report | **November 22, 2025** | Symbol: **NYSE** | **CL** is in the S&P 500

CFRA

Colgate-Palmolive Company

Recommendation	**Price**	**12-Mo. Target Price**	**Report Currency**	**Investment Style**
HOLD ★★★★★	USD 80.93 (as of market close Nov 21, 2025)	USD 88.00	USD	Large-Cap Value

Equity Analyst Ana Garcia

GICS Sector Consumer Staples
Sub-Industry Household Products

Summary Colgate-Palmolive markets oral, personal, and household care products, as well as pet nutrition products, in more than 200 countries and territories.

Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports)

52-Wk Range	**USD 100.18 - 74.55**	Oper.EPS2025**E**	**USD 3.68**	Market Capitalization[B]	**USD 63.57**	Beta	**0.34**
Trailing 12-Month EPS	**USD 3.65**	Oper.EPS2026**E**	**USD 4.02**	Yield [%]	**2.64**	3-yr Proj. EPS CAGR[%]	**7**
Trailing 12-Month P/E	**22.17**	P/E on Oper.EPS2025**E**	**21.99**	Dividend Rate/Share	**USD 2.08**	SPGMI's Quality Ranking	**B+**
USD 10K Invested 5 Yrs Ago	**10,390.0**	Common Shares Outstg.[M]	**806.00**	Trailing 12-Month Dividend	**USD 2.06**	Institutional Ownership [%]	**46.0**

Stock Report | **November 22, 2025** | Symbol: **NYSE** | **PG** is in the S&P 500

CFRA

The Procter & Gamble Company

Recommendation	**Price**	**12-Mo. Target Price**	**Report Currency**	**Investment Style**
HOLD ★★★★★	USD 150.92 (as of market close Nov 21, 2025)	USD 162.00	USD	Large-Cap Value

Equity Analyst Ana Garcia

GICS Sector Consumer Staples
Sub-Industry Household Products

Summary PG is a multinational consumer goods corporation that produces a wide range of household and personal care products, including brands such as Tide, Pampers, & Crest.

Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports)

52-Wk Range	**USD 180.43 - 144.09**	Oper.EPS2026**E**	**USD 7.05**	Market Capitalization[B]	**USD 346.28**	Beta	**0.36**
Trailing 12-Month EPS	**USD 6.89**	Oper.EPS2027**E**	**USD 7.39**	Yield [%]	**2.85**	3-yr Proj. EPS CAGR[%]	**6**
Trailing 12-Month P/E	**21.9**	P/E on Oper.EPS2026**E**	**21.41**	Dividend Rate/Share	**USD 4.23**	SPGMI's Quality Ranking	**A**
USD 10K Invested 5 Yrs Ago	**12,036.0**	Common Shares Outstg.[M]	**2,337.00**	Trailing 12-Month Dividend	**USD 4.18**	Institutional Ownership [%]	**41.0**

Source: Procter & Gamble, Colgate-Palmolive, and Unilever, *CFRA Reports*.

Figure 3: Multiples Analysis (Tier 1 and Tier 2's)

		Market Data						Financial Data (LTM)			Financial Data (NTM)			Metrics (LTM)			Metrics (NTM)		
	Ticker	Share Price (£/sh)	Latest Shares Outstanding (m)	Mkt. Cap. (£m)	Net Debt / (Cash) (£m)	Pref, NCI & Other Debt (£m)	Enterprise Value (£m)	Revenue (£m)	EBITDA (£m)	EPS (£/sh)	Revenue (£m)	EBITDA (£m)	EPS (£/sh)	EV / Revenue (x)	EV / EBITDA (x)	P / E (x)	EV / Revenue (x)	EV / EBITDA (x)	P / E (x)
Reckitt Benckiser Group plc (LSE:RKT)	**US**	**58.92**	**674**	**39,701**	**8,439**	**36**	**48,176**	**13,983**	**3,564**	**2.03**	**14,354**	**4,036**	**2.89**	**3.4x**	**13.5x**	**29.0x**	**3.4x**	**11.9x**	**20.4x**
Company																			
Tier 1																			
Unilever PLC (LSE:ULVR)	UK	44.66	2,490	111,186	23,469	1,211	135,865	52,626	10,412	1.98	52,174	11,480	2.72	2.6x	13.0x	22.6x	2.6x	11.8x	16.4x
The Procter & Gamble Company (NYSE:PG	US	110.70	2,337	258,668	18,807	798	278,273	64,475	18,767	5.33	66,597	18,645	5.39	4.3x	14.8x	20.8x	4.2x	14.9x	20.5x
Colgate-Palmolive Company (NYSE:CL)	US	59.83	806	48,224	5,274	290	53,788	15,256	3,653	2.72	15,803	3,827	2.86	3.5x	14.7x	22.0x	3.4x	14.1x	20.9x
Lower Quartile (Q1)				79,705			94,827	33,941	7,033		33,989	7,853		3.1x	13.9x	21.4x	3.0x	12.9x	18.5x
Average				139,359			155,976	44,119	10,944		44,858	11,317		3.5x	14.2x	21.8x	3.4x	13.6x	19.3x
Median				**111,186**			**135,865**	**52,626**	**10,412**		**52,174**	**11,480**		**3.5x**	**14.7x**	**22.0x**	**3.4x**	**14.1x**	**20.5x**
Upper Quartile (Q3)				184,927			207,069	58,551	14,590		59,386	15,063		3.9x	14.8x	22.3x	3.8x	14.5x	20.7x
Tier 2																			
Kenvue Inc. (NYSE:KVUE)	US	12.33	1,916	23,618	6,050	0	29,669	11,392	2,688	0.57	11,697	2,673	0.82	2.6x	11.0x	21.6x	2.5x	11.1x	15.0x
Unicharm Corporation (TSE:8113)	Japan	4.47	1,742	7,786	(1,029)	463	7,221	4,703	827	0.23	4,956	888	0.24	1.5x	8.7x	19.4x	1.5x	8.1x	18.6x
Haleon plc (LSE:HLN)	UK	3.70	8,894	32,909	7,869	57	40,835	11,019	2,626	0.17	11,349	2,872	0.19	3.7x	15.6x	21.8x	3.6x	14.2x	19.5x
The Clorox Company (NYSE:CLX)	US	76.83	122	9,372	2,211	122	11,704	5,140	930	4.87	5,071	1,027	4.89	2.3x	12.6x	15.8x	2.3x	11.4x	15.7x
Lower Quartile (Q1)				8,975			10,583	5,031	904		5,042	993		2.1x	10.5x	18.5x	2.1x	10.4x	15.5x
Average				18,421			22,357	8,063	1,768		8,268	1,865		2.5x	12.0x	19.7x	2.5x	11.2x	17.2x
Median				**16,495**			**20,686**	**8,080**	**1,778**		**8,210**	**1,850**		**2.4x**	**11.8x**	**20.5x**	**2.4x**	**11.2x**	**17.2x**
Upper Quartile (Q3)				25,941			32,460	11,112	2,642		11,436	2,723		2.9x	13.3x	21.7x	2.8x	12.1x	18.8x

Notes:
1. All figures converted to GBP using the spot exchange rate as at 17 November 2025.
Source/s:
1. S&P Capitol IQ.

Source: Source: *S&P Capital IQ*; author calculations.

Figure 4: Reckitt Implied Valuation

Multiple Weightings

Tier 1 - Median	80%
Tier 2 - Median	20%

EV / Revenue (LTM)	**Q1**	**Median**	**Q3**
Weighted Multiple (x)	2.9x	3.3x	3.7x
RKT Revenue (£m)	13,983	13,983	13,983
Implied Enterprise Value (£m)	**40,009**	**46,255**	**51,913**
Less: Net Debt (£m)	(8,439)	(8,439)	(8,439)
Less: Pref. Stock, Minorities & Other Debt (£m)	(36)	(36)	(36)
Implied Equity Value (£m)	**31,534**	**37,790**	**43,438**
Latest Shares Outstanding (m)	674	674	674
Implied Share Price (£/sh)	**£ 46.80**	**£ 56.08**	**£ 64.47**

EV / EBITDA (LTM)	**Q1**	**Median**	**Q3**
Weighted Multiple (x)	13.2x	14.1x	14.5x
RKT EBITDA (£m)	3,564	3,564	3,564
Implied Enterprise Value (£m)	**47,051**	**50,403**	**51,630**
Less: Net Debt (£m)	(8,439)	(8,439)	(8,439)
Less: Pref. Stock, Minorities & Other Debt (£m)	(36)	(36)	(36)
Implied Equity Value (£m)	**38,576**	**41,928**	**43,155**
Latest Shares Outstanding (m)	674	674	674
Implied Share Price (£/sh)	**£ 57.25**	**£ 62.22**	**£ 64.05**

P / E (LTM)	**Q1**	**Median**	**Q3**
Weighted Multiple (x)	20.8x	21.7x	22.2x
RKT EPS (£/sh)	2.03	2.03	2.03
Implied Share Price (£/sh)	**£ 42.24**	**£ 44.06**	**£ 44.97**

EV / Revenue (NTM)	**Q1**	**Median**	**Q3**
Weighted Multiple (x)	2.8x	3.2x	3.6x
RKT Revenue (£m)	14,354	14,354	14,354
Implied Enterprise Value (£m)	**40,509**	**46,039**	**51,577**
Less: Net Debt (£m)	(8,439)	(8,439)	(8,439)
Less: Pref. Stock, Minorities & Other Debt (£m)	(36)	(36)	(36)
Implied Equity Value (£m)	**32,034**	**37,564**	**43,102**
Latest Shares Outstanding (m)	674	674	674
Implied Share Price (£/sh)	**£ 47.54**	**£ 55.75**	**£ 63.97**

EV / EBITDA (NTM)	**Q1**	**Median**	**Q3**
Weighted Multiple (x)	12.4x	13.5x	14.0x
RKT EBITDA (£m)	4,036	4,036	4,036
Implied Enterprise Value (£m)	**50,162**	**54,466**	**56,557**
Less: Net Debt (£m)	(8,439)	(8,439)	(8,439)
Less: Pref. Stock, Minorities & Other Debt (£m)	(36)	(36)	(36)
Implied Equity Value (£m)	**41,687**	**45,991**	**48,082**
Latest Shares Outstanding (m)	674	674	674
Implied Share Price (£/sh)	**£ 61.87**	**£ 68.26**	**£ 71.36**

P / E (NTM)	**Q1**	**Median**	**Q3**
Weighted Multiple (x)	17.9x	19.9x	20.4x
RKT EPS (£/sh)	2.89	2.89	2.89
Implied Share Price (£/sh)	**£ 51.71**	**£ 57.41**	**£ 58.81**

Source: Source: *S&P Capital IQ*; author calculations.

Figure 5: Reckitt Football Field Chart

Football Field Chart

LTM

Multiple / Method	**Q1**	**Median**	**Q3**	**Range**
EV / Revenue	£ 46.80	£ 56.08	£ 64.47	£ 17.67
EV / EBITDA	£ 57.25	£ 62.22	£ 64.05	£ 6.80
Price / Earnings	£ 42.24	£ 44.06	£ 44.97	£ 2.73
52 Week Range	£ 46.33		£ 59.10	£ 12.77
Current Price	£ 58.92	£ 58.92	£ 58.92	£ 58.92
Median				

£ 54.12

Source: *S&P Capital IQ*: author calculations.

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